Case study - 12

Corporate governance and ethics policy

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1. Introduction

Corporate governance refers to the system through which a company is managed and controlled. It ensures transparency, accountability and responsible decision-making. Business ethics means following honesty, integrity and fairness in business activities.

Wipro Limited is a major Indian information technology services and consulting company. It provides technology and business solutions to customers across different countries. Wipro follows corporate governance guidelines and a Code of Business Conduct and Ethics to promote ethical behaviour and responsible management.

The main purpose of this case study is to understand how Wipro follows corporate governance and ethical practices, complies with legal requirements and maintains trust among its stakeholders.

2. Policy Overview

Wipro's corporate governance and ethics framework aims to promote transparency, accountability, integrity and responsible business operations. Its policies explain the standards expected from directors, employees and management while performing their duties.

Wipro publishes several policies and guidelines, including its Code of Business Conduct and Ethics, Corporate Governance Guidelines and Ombuds Policy. These policies help employees understand their responsibilities and follow appropriate standards in business activities.

The main areas covered by Wipro's policies are:

- Transparency in business activities and disclosures.
- Accountability of directors and management.
- Ethical behaviour and professional integrity.
- Prevention of fraud, bribery and corruption.
- Management of conflicts of interest.
- Protection of confidential information.
- Reporting suspected unethical activities.
- Compliance with applicable laws and regulations.

These policies help Wipro maintain responsible business practices, protect stakeholder interests and build trust among customers, employees and investors.

3. Key Provisions of the Policy

Transparency and Disclosure

Transparency means providing clear, accurate and relevant information to stakeholders. Wipro publishes annual reports, corporate governance information and other required disclosures through its official investor website.

These disclosures help shareholders and investors understand the company's activities, performance and governance practices. Proper disclosure supports informed decision-making and reduces confusion. Transparency also helps build trust between the company and its stakeholders.

Accountability and Responsibility

Accountability means that individuals are responsible for their decisions and actions. Wipro's governance framework defines responsibilities for the Board of Directors, board committees and management.

The Board provides oversight of the company's strategy and governance, while management is responsible for implementing policies and business decisions. Clear responsibilities help prevent misuse of authority and encourage employees to act responsibly.

Accountability also supports better monitoring and helps the company identify problems and take corrective action when necessary.

Ethical Business Practices

Ethical business practices mean conducting business with honesty, integrity and fairness. Wipro's Code of Business Conduct and Ethics provides guidance on appropriate employee behaviour and professional responsibilities.

Employees are expected to act honestly, treat others respectfully, protect confidential information and avoid dishonest activities. They should also follow company policies while dealing with customers, suppliers and business partners.

Ethical behaviour helps create a responsible workplace, improves professional relationships and protects the company's reputation.

Prevention of Fraud and Corruption

Fraud and corruption can cause financial losses, legal problems and damage to a company's reputation. Wipro's ethical guidelines address bribery, improper payments and other forms of misconduct.

Employees should not offer or accept improper benefits to influence business decisions. For example, an employee should not accept money from a supplier in exchange for selecting that supplier.

Ethical guidelines, internal controls and reporting mechanisms help reduce the risk of misconduct and encourage fair business dealings.

Conflict of Interest

A conflict of interest occurs when personal interests affect or may influence professional decisions. For example, an employee may favour a supplier because of a personal relationship rather than the supplier's suitability.

Wipro's ethical framework addresses conflicts of interest and expects employees to act in the company's best interests. Employees should identify and disclose relevant conflicts according to company procedures.

Managing conflicts of interest helps prevent favouritism, promotes fairness and supports responsible decision-making.

Whistle-blower and Ombuds Policy

A whistle-blower is a person who reports suspected wrongdoing or violations of company policies. Wipro's Ombuds process provides a channel for raising concerns about suspected misconduct.

This process encourages employees and other eligible stakeholders to report concerns through the available reporting channels. The company can examine reported issues and take appropriate action according to its procedures.

A proper reporting system supports accountability and helps create a workplace where ethical concerns can be raised responsibly.

Confidentiality and Information Protection

Wipro handles confidential business information and customer data as part of its IT services. Protecting this information is an important responsibility.

Employees are expected to handle confidential information carefully and avoid unauthorised disclosure or misuse. Proper information protection helps reduce risks, maintain customer trust and support responsible business operations.

4. Compliance and Government Analysis

Wipro must follow the laws and regulations applicable to its business operations in India. These legal requirements promote responsible management, transparency and accountability.

The important legal and regulatory frameworks include:

- **Companies Act, 2013:** Covers company management, directors, audits and corporate responsibilities.
- **SEBI Listing Obligations and Disclosure Requirements (LODR):** Provides disclosure and corporate governance requirements applicable to listed companies.
- **Applicable data protection laws:** Govern the handling and protection of personal information.

Wipro publishes corporate governance disclosures, policies and annual reports through its official investor website. These documents help stakeholders understand its governance arrangements and access relevant company information.

Following applicable laws and regulations helps Wipro reduce legal risks, maintain investor confidence and conduct business responsibly. However, compliance requires regular monitoring and proper implementation of policies.

Governance Mechanism

Wipro's governance mechanism includes the Board of Directors, board committees, management, internal controls and reporting procedures.

The Board provides oversight of the company's strategy and governance. Management implements company policies and ensures that employees understand their responsibilities. Internal controls help identify risks and support compliance with company requirements.

The Ombuds process provides a channel for reporting suspected misconduct. These arrangements support accountability, responsible decision-making and ethical business practices.

5. Customer Rights

Customer rights are important for maintaining trust and good relationships between a company and its customers. Wipro should respect

customer interests and provide reliable services through fair and transparent business practices.

- **Right to Information:** Customers should receive clear and accurate information about the company's services.
- **Right to Privacy:** Customer data and confidential information should be protected from unauthorised access.
- **Right to Quality Service:** Customers should receive services that meet agreed standards and commitments.
- **Right to Fair Treatment:** Customers should be treated honestly and fairly without discrimination.
- **Right to Raise Complaints:** Customers should have a suitable channel to report problems and receive a proper response.

These practices help protect customer interests, improve customer satisfaction and build long-term trust in Wipro.

6. Policy Evaluation

Strengths of the Policy

Wipro's corporate governance and ethics framework has several strengths. First, the company has formal policies that explain expected employee behaviour and management responsibilities. Second, its Code of Business Conduct and Ethics addresses important matters such as conflicts of interest, confidentiality and professional integrity.

Another strength is the availability of corporate governance disclosures and annual reports. The Ombuds process also provides a mechanism for reporting suspected misconduct.

These practices help establish a framework for transparency, accountability and responsible business management.

Effectiveness and Practicality

Wipro's policies are practical because they provide guidance for employees and management in their daily activities. Employees can refer to ethical guidelines when facing difficult business situations, while reporting mechanisms help bring suspected misconduct to the company's attention.

Corporate governance disclosures also help stakeholders access relevant information.

However, the effectiveness of these policies depends on consistent implementation, employee awareness, proper monitoring and suitable follow-up when concerns are reported.

Gaps and Areas Requiring Improvement

One area for improvement is employee awareness. Some employees may not fully understand every policy or know how to respond to ethical problems.

Employees may also hesitate to report misconduct if they are unsure about reporting procedures or fear negative consequences. Therefore, clear communication and appropriate protection against retaliation are important.

Regular training, feedback and policy reviews can help identify gaps and strengthen implementation. These are potential areas for improvement, not claims that Wipro has failed in these areas.

Good Corporate Practices

Good corporate practices include transparency, accountability, integrity, fairness and responsible decision-making. Wipro's governance guidelines and ethics policies support these principles.

Regular ethics training, internal monitoring and consistent application of policies can further strengthen the company's governance framework.

7. Practical Implementation

Wipro implements its corporate governance and ethics framework through written policies, management responsibilities, employee guidance and reporting mechanisms.

Its Code of Business Conduct and Ethics explains expected professional behaviour and responsible business dealings. Employees are expected to follow these guidelines while dealing with customers, suppliers and colleagues.

The company also publishes corporate governance information and annual reports for stakeholders. Through the Ombuds process, concerns about suspected misconduct can be raised and examined under the applicable procedures.

For example, if an employee notices a possible violation of company policy, the employee can report the concern through the appropriate internal

channel. The company can then examine the issue and take suitable action where necessary.

Employee training, internal controls and proper follow-up help support effective implementation. These practices encourage ethical behaviour and improve accountability within the organisation.

8. Business Relevance

Corporate governance and business ethics play an important role in Wipro's business because the company operates in a competitive global IT services industry.

Customers, investors and business partners expect the company to provide reliable services, protect confidential information and conduct business honestly. Strong governance and ethical standards help support these expectations.

Corporate governance and ethics are connected with the following business areas:

Risk Management

Proper internal controls and ethical guidelines can help identify and reduce risks related to fraud, corruption, conflicts of interest and misconduct.

Investor Confidence

Transparent disclosures and responsible management help investors understand the company's activities and governance practices. This can support investor confidence.

Ethical Practices

A clear Code of Business Conduct and Ethics encourages employees to act honestly, avoid improper benefits and follow professional standards.

Compliance

Following applicable laws, regulations and company policies helps reduce legal risks and supports responsible business operations.

Organisational Governance

Clear responsibilities, board oversight and internal monitoring support accountability and better decision-making within the organisation.

9. Example – Wipro Limited

Wipro Limited is an example of a company that has established formal corporate governance and ethical business policies. Its corporate governance guidelines, Code of Business Conduct and Ethics and Ombuds process provide a framework for responsible behaviour and reporting suspected misconduct.

Example:

Suppose a Wipro employee is involved in selecting a supplier for a business project. One supplier offers the employee a personal benefit in exchange for selecting that supplier, even though the offer may not meet the company's requirements.

The employee should not accept the improper benefit or allow personal interests to influence the decision. The employee should follow Wipro's ethical guidelines and raise the concern through the appropriate internal reporting channel if necessary.

The concern can then be examined according to the applicable procedures. If misconduct is established, suitable action can be taken.

This example shows how ethical policies can help prevent improper influence, manage conflicts of interest and encourage fair business decisions.

It is an illustrative example based on the principles covered by corporate ethics policies, not a claim that this incident actually occurred at Wipro.

10. Recommendations

Based on the study of Wipro's corporate governance and ethics framework, the following are our own suggestions for improvement.

1. Conduct Regular Ethics Training

Wipro can conduct regular training programmes to help employees understand ethical rules, workplace responsibilities and professional behaviour. Practical examples can make the training easier to understand.

2. Improve Employee Awareness

The company can explain important policies in simple language through meetings, emails and internal communication. This can help employees understand how to respond to ethical problems.

3. Strengthen the Whistle-blower System

Wipro can clearly communicate its reporting procedures and ensure that concerns are handled fairly. Appropriate safeguards should be maintained for people reporting concerns in accordance with the policy.

4. Improve Transparency

The company can continue providing clear and timely information about its business activities and governance practices. This can help stakeholders make informed decisions.

5. Strengthen Monitoring

Wipro can regularly review its internal controls and ethical procedures. If gaps are identified, corrective action should be taken promptly.

11. Conclusion

The case study of Wipro Limited shows that corporate governance and business ethics are important for responsible company management. Wipro's governance guidelines, Code of Business Conduct and Ethics and Ombuds process support transparency, accountability and ethical behaviour. These practices help improve stakeholder confidence, legal compliance and business reputation. However, regular training, employee awareness, monitoring and proper complaint handling are necessary for effective implementation. Thus, corporate governance and ethics are essential for maintaining trust, protecting stakeholder interests and supporting Wipro's long-term business success.

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